

The checklist *pack*.

Twelve working checklists to use alongside the handbook: when you view a property, when you receive heads of terms, and before you sign anything. Print them, fill them in, and take the notes to your adviser. Ticking a box is not the same as taking advice, but it will tell you what to ask.

01 Heads of terms review sheet

02 Property viewing checklist

03 Total occupancy cost

04 Rent review preparation

05 Lease renewal preparation

06 Repairing liability and dilapidations

07 Service charge review

08 Business rates

09 Break clause

10 Alterations and fit-out

11 Questions for the agent

12 Red flags before signing

Heads of terms *review sheet.*

A one-page record of what you have actually been offered. Fill it in from the heads of terms, and the gaps will show you what still needs pinning down.

Filling this in is not the same as taking advice.

Property address and unit

Landlord and managing agent

Quoting rent, and proposed rent

Lease term and start date

Break options and dates

Rent-free period or incentive offered

Rent review type and pattern

Repairing basis (FRI, internal only, schedule of condition?)

Service charge basis, and any cap

Insurance arrangement

Permitted use

Assignment and subletting permitted, on what terms

Alterations and reinstatement position

Security of tenure (protected or contracted out)

Deposit or guarantee required

VAT position on the rent

Items still to agree

NOTES AND QUESTIONS FOR MY ADVISER

Property viewing *checklist.*

Take this with you when you view. It catches the practical things that are easy to miss when you are picturing the business in the space.

Ticking boxes is not the same as taking advice.

-
- ☐ Location, access, parking and loading suitable
 -
 - ☐ Structure, roof, windows and frontage look sound
 -
 - ☐ Internal condition: floors, ceilings, services
 -
 - ☐ Heating, cooling and ventilation, age and condition
 -
 - ☐ Electrics adequate, and three-phase power if needed
 -
 - ☐ Water, drainage, kitchen or washroom provision
 -
 - ☐ EPC band displayed or available
 -
 - ☐ Signage and frontage rights
 -
 - ☐ Neighbouring occupiers and footfall
 -
 - ☐ Any signs of deferred repair
 -
 - ☐ Photographs taken
 -
 - ☐ First-impression concerns noted to raise
-

NOTES AND QUESTIONS FOR MY ADVISER

Total occupancy *cost*.

Turn the headline rent into the real number. Fill in what you can, and ask for the rest. This is the figure to test against what the business can carry.

Filling this in is not the same as taking advice.

Annual rent

Service charge (budget, and last actual)

Insurance rent

Business rates: rateable value, and estimated bill

Small business rate relief eligible?

Utilities and broadband

Repairs and maintenance reserve

Fit-out and signage (one-off)

Professional fees (solicitor, surveyor, agent)

Rent deposit tied up

VAT on the rent if it applies (ask your accountant)

SDLT if it applies (ask your solicitor)

Estimated first-year total

Estimated ongoing annual cost

NOTES AND QUESTIONS FOR MY ADVISER

CHECKLIST 04

Rent review *preparation.*

Work through this before a review falls due, not after the notice lands.

Ticking boxes is not the same as taking advice.

-
- ☐ Review type confirmed (open market, indexed, fixed, stepped)
 -
 - ☐ Review date and notice requirements noted
 -
 - ☐ Upward-only, or not
 -
 - ☐ Comparable evidence gathered
 -
 - ☐ Assumptions and disregards in the lease read
 -
 - ☐ Time limits checked, and whether time is of the essence
 -
 - ☐ Surveyor instructed, or to be instructed
 -
 - ☐ Worst-case figure modelled
 -
 - ☐ Budget impact understood
 -

NOTES AND QUESTIONS FOR MY ADVISER

CHECKLIST 05

Lease renewal *preparation.*

Start this well before the lease ends. Renewals run to strict timetables.

Ticking boxes is not the same as taking advice.

-
- ☐ Lease expiry date diarised
 -
 - ☐ Protected or contracted out confirmed
 -
 - ☐ Notice received or to be served (Section 25 or Section 26)
 -
 - ☐ Strategy decided: renew, renegotiate or relocate
 -
 - ☐ Current rent versus likely market rent
 -
 - ☐ Desired changes to terms listed
 -
 - ☐ Dilapidations position assessed
 -
 - ☐ Surveyor and solicitor instructed
 -
 - ☐ Timetable mapped
 -
 - ☐ Fallback if terms cannot be agreed
 -

NOTES AND QUESTIONS FOR MY ADVISER

Repairing liability and *dilapidations*.

The repairing obligation is where the end-of-lease bill is decided. Check it at the start.

Ticking boxes is not the same as taking advice.

-
- ☐ Repairing basis (full repairing, internal only, by reference to a schedule of condition)
 - ☐ Age and condition of building noted
 - ☐ Existing defects recorded
 - ☐ Schedule of condition agreed and annexed
 - ☐ Liability for structure, roof, plant and common parts understood
 - ☐ Service charge contribution to repairs
 - ☐ Reinstatement obligations on alterations
 - ☐ Likely terminal dilapidations exposure
 - ☐ Surveyor advice obtained
-

NOTES AND QUESTIONS FOR MY ADVISER

Service charge *review*.

Before you commit, understand the cost you will not control.

Ticking boxes is not the same as taking advice.

☐ Current annual budget obtained

☐ Last two years of actuals reviewed

☐ Cap in place?

☐ Items included and excluded checked

☐ Sinking or reserve fund, and how it is held

☐ Major works planned?

☐ Management fee basis (fixed, not a percentage)

☐ Proportion you pay, and how it is calculated

☐ Right to inspect the accounts

☐ Historic disputes or surprises

☐ Questions for the managing agent noted

NOTES AND QUESTIONS FOR MY ADVISER

Business *rates.*

Rates are a separate bill the landlord does not set. Pin the number down early.

Ticking boxes is not the same as taking advice.

☐ Rateable value confirmed

☐ Estimated annual bill worked out

☐ Small business rate relief eligibility checked

☐ Any other reliefs or exemptions

☐ Empty rates position if taking space in stages

☐ Whether a challenge looks worth exploring (often it is not)

☐ Billing authority contact

☐ Date of the current rating list

NOTES AND QUESTIONS FOR MY ADVISER

Break *clause*.

A break is only as good as your ability to meet its conditions. Treat the date as fixed from day one.

Ticking boxes is not the same as taking advice.

-
- ☐ Break date or dates noted
 - ☐ Notice period and exact deadline diarised
 - ☐ Form of notice required
 - ☐ Conditions attached (rent paid up, vacant possession, compliance)
 - ☐ Who can exercise the break
 - ☐ Whether the condition is material or absolute
 - ☐ Any penalty or premium on break
 - ☐ Reminder set well before the deadline
 - ☐ Solicitor confirmation that the notice is valid
-

NOTES AND QUESTIONS FOR MY ADVISER

CHECKLIST 10

Alterations and *fit-out*.

Plan the fit-out and the strip-out together, so you do not pay twice.

Ticking boxes is not the same as taking advice.

-
- ☐ Works planned listed
 -
 - ☐ Landlord's consent required, and obtained
 -
 - ☐ Licence for alterations in place
 -
 - ☐ Building Regulations and planning checked
 -
 - ☐ Reinstatement obligation at lease end understood
 -
 - ☐ Cost of fit-out, and of eventual reinstatement
 -
 - ☐ Contractor and timescales
 -
 - ☐ Any landlord contribution
 -
 - ☐ Insurance during the works
 -

NOTES AND QUESTIONS FOR MY ADVISER

CHECKLIST 11

Questions for the *agent*.

Run through these with the agent. Notice which answers come back vague.

Ticking boxes is not the same as taking advice.

-
- ☐ Is the rent exclusive of VAT, service charge and rates?
 - ☐ What is the service charge running at, and is it capped?
 - ☐ What is the repairing basis, and will a schedule of condition be agreed?
 - ☐ What rent-free period or incentive is on offer?
 - ☐ Is the lease protected or contracted out?
 - ☐ What is the rent review pattern?
 - ☐ Is there a break, and on what conditions?
 - ☐ What is the permitted use?
 - ☐ Can I assign or sublet?
 - ☐ What works is the landlord doing before I take it?
 - ☐ What is the EPC band?
-

NOTES AND QUESTIONS FOR MY ADVISER

CHECKLIST 12

Red flags before *signing*.

These are the terms that should make you stop and take advice.

Ticking boxes is not the same as taking advice.

- ☐ Upward-only review on a long term with no break
- ☐ Full repairing liability on an older building with no schedule of condition
- ☐ Uncapped service charge
- ☐ Onerous or unclear reinstatement
- ☐ A conditional break that is easy to trip
- ☐ A personal guarantee with no release
- ☐ A narrow use clause
- ☐ No or restricted right to assign or sublet
- ☐ Pressure to sign quickly
- ☐ Anything you do not understand and have not had explained

Two or more ticked? Stop, and take advice before you sign. That is the difference between a problem you can still fix and one you cannot.

NOTES AND QUESTIONS FOR MY ADVISER
